LUXED MEDIA

AI-Native Assessment — Harbourline Systems

Operating model, readiness and a 30-day roadmap

COMPOSITE SAMPLE — NOT A CLIENT

Harbourline Systems does not exist. It is a composite of the business shape Luxed assesses most often: a 41-person software consultancy with three delivery motions and contractual obligations it cannot see from the inside. Every name is a role title, every rate and figure is illustrative, and no outcome is claimed for any business. What is real is the structure and the reasoning — this is the document a client receives, with their numbers in place of these.

What's in this document

A delivered assessment runs 6–9 pages and always has the same eight parts. This is that document, for a business that never existed.

- **Cover** — the business, the date, the evidence base: sessions held, artefacts read, whose records the numbers come from.
- **Executive summary** — the structural findings, what they cost, and the one thing to do first.
- **Operating model map** — every stage: where it lives, who owns it, what breaks.
- **Readiness score** — seven dimensions out of five, the evidence for each, and one verdict sentence.
- **Bottleneck and opportunity matrix** — every candidate workflow, sorted into initiatives and controls, every money figure costed on the client's own rate or explicitly disclaimed.
- **30-day roadmap** — at most three initiatives and three controls, each with an owner, a first step and a number to watch. Plus one thing to stop doing.
- **What we didn't look at** — the scope limits, in writing.
- **Next step** — one option, one price.

Executive summary

What we found. Harbourline is not short of engineering discipline — it is short of the information that discipline should produce. Four findings account for most of the friction, and none of them are about tooling.

You are quoting blind. Fixed-price work is priced from an eleven-tab spreadsheet and two hours in a room, using day rates rather than historical effort. In your words: *"We quote from a template and then find out what it really costs in month three."* Because project margin is only known four to six weeks after delivery, the business cannot learn from its own estimates, and the riskiest number in the company is set by the person with the least time to check it.

Support is unmeasured work you are selling. Tickets arrive in a shared mailbox — 240 of them sitting in the inbox, none in the service-desk queue you pay for — and the ones fixed in five minutes are never recorded. That means no volume, no time-to-fix and no repeat-fault view, on the revenue line most exposed to the client's own experience of you. It is also why September's outage was discovered by the client rather than by Harbourline.

The business runs on three operating models, and the middle one has no process at all. Fixed-price projects have a real software development lifecycle — code review, tests, separate QA, a 17% reopen rate.

The staff-augmentation squads, roughly 30% of revenue, have no Harbourline-side brief, no kickoff and no definition of done; the client's process governs. Support and release sit in between, undocumented. You said it best: *"We're three businesses in a trench coat."*

Nobody has decided what the team may put into an AI tool, and the team has already decided. Two of your eleven accounts contractually restrict where code may go — one forbids third-party services outright, one requires local data residency and written subprocessor approval. Meanwhile developers are using AI assistants informally, which you discovered in a code review. That is unmanaged risk today, not a future project.

What it's costing. R84,180 a year is recoverable from the one workflow on this page that has recorded hours — the weekly margin rebuild — and section 5 shows the arithmetic, the rate it uses and why every other finding is disclaimed rather than estimated. Beyond the recoverable total there is exposure: service credits from one September outage that exceed this engagement's fee, and R6.8m of annual revenue exposed at the March renewal. The larger cost is not on the invoice either: estimates that cannot be checked, and a payments platform that only one person can deploy.

What to do first. Make the work visible. Log what currently is not logged — support tickets, change requests, actual effort per project phase — so quoting and margin stop being matters of memory. Then spend two hours verifying a backup restore and write one runbook, because those are the two things that can end the relationship rather than merely annoy it. Both take less than a fortnight and neither needs a tool.

Operating model map

Stage	Where it lives	Who owns it	What breaks
Acquisition	Referrals, one panel listing, the principal's network; enquiries in one inbox	Principal	43 unread enquiries; no record of why the other three in four were lost
Sale → delivery	SoW plus `Estimation-v7.xlsx`; kickoff call for projects, nothing for staff-aug	Principal (quote), squad lead (kickoff)	Quotes priced off day rates, not effort; two accounts with no Harbourline-side brief
Delivery — estimate	`Estimation-v7.xlsx` and one person's judgement	Principal	No feedback loop from actual effort; overruns absorbed quietly
Delivery — build	Sprint board, pull requests	Squad lead	Priorities reset mid-sprint by client calls
Delivery — review & QA	Pull requests plus four QA staff	Squad lead, QA lead	Genuinely good: 74 of 430 tickets reopened in 90 days. Shared QA environment often stale
Delivery — release	Manual deploy from a developer machine over client VPN on seven of eleven accounts	Platform lead	*"The environment is the process. If staging is broken, everything stops."*

Stage	Where it lives	Who owns it	What breaks
Delivery — support	Shared mailbox; service desk bought in 2024 and abandoned	Whoever is on rotation	Volume and time-to-fix not measured; short fixes never logged
Delivery — incident	Chat channels and phone calls	Platform lead, then principal	No runbook; the client detects the fault first
Capacity & staffing	Nowhere; allocation by conversation	Principal	Bench invisible — *"I find out someone's idle when they ask me for work"*
Reporting & decisions	`Util-Oct.xlsx`, rebuilt weekly from timesheets and the bank statement	Finance	Margin four to six weeks late; project margin unknown while it can still change
Knowledge & ownership	Wiki playbook (40% stale, no owner) plus three contractors	Nobody	*"If the platform lead is on leave we don't touch the payments service."*
Feedback	Monthly retro; output into a page nobody opens	Ops manager	Post-incident review written for the client; the same three problems return each quarter
Permission & blast radius	Not written anywhere	Nobody	Two accounts contractually closed to AI tooling; informal use already happening

What this shows. Thirteen rows, five owners who are people rather than processes, and the three steps with the most contractual exposure — release, support, incident — have no written path at all. This is not a business that is badly run. It is a business where the parts that were built deliberately (engineering) are instrumented, and the parts that grew by accident (quoting, support, release) are not. September's outage happened in the second category.

The three businesses. A single average score would describe none of these:

Motion	Share of revenue	Process	Where it breaks
Fixed-price projects	~55%	Real SDLC, weak quoting and change control	Margin discovered too late to act on
Staff-augmentation squads	~30%	Client's process; no Harbourline-side brief or definition of done	No leverage, no visibility, no protection when a contractor leaves
Support retainers	~15%	Mailbox and memory	Unmeasured work priced by guesswork

Readiness score

Dimension	Score	What we saw
Data accessibility	3/5	Code, tickets and CI are queryable and used. Effort, margin and bench are rebuilt by hand weekly; five-minute fixes are never recorded
Process clarity	3/5	A real SDLC for project work — pull-request template, tests, separate QA. Nothing written for support, release, incident or change control. Staff-aug governed by the client; scored per motion — project 3, staff-aug 2
Decision authority	3/5	A written two-day threshold that squad leads actually use. Pricing, larger change requests, hiring, architecture and every escalation still route to the principal
Feedback capture	2/5	Retros happen; output goes nowhere. *"We rediscover the same three problems every quarter."*
Tool integrity	2/5	Seven tools, one abandoned, one duplicated for two clients, no sync between timesheets and project plans
Error tolerance	2/5	Code defects are caught before release by review and QA — that part is strong. But incidents are found by the client, and September took nine hours to diagnose: the detection gap, not the quality gap, is the exposure
Permission & blast radius	2/5	Two of eleven accounts restrict where code may go; no written policy; informal AI use already happening. This scores as a gate, not a preference — it decides which recommendations are available at all

THE VERDICT

Your operating model is ready for assisted capture and accelerated reporting in the project business. It will break at support, release and permission — the three places where nothing is written down and nobody owns the outcome.

That sentence is the product. Not a maturity band, not a heat map: a specific claim about what will work now and where the failure will come from, that a reader can argue with.

This is a mid-band business: the raw material is real and the engineering habits are good, but the middle of the operating model — quoting, support, release, incident, allocation — was never documented because nobody was hired to own it. AI inside steps that already exist will work now. Anything autonomous in the delivery path will fail, not because the team cannot run it, but because there is no written process to follow and no measurement to prove it is working.

Bottleneck and opportunity matrix

Two tables in the same row order, then the arithmetic: a judgement matrix, a costed table, a payback line.

The judgement. *Hours* is a ranking score, not a count — it orders this list and never becomes a cost. The money comes from records, below. *Exposure* is what one failure costs — money, contract, client data — scored separately, because an instrument that scored only hours ranked a two-hour backup check below a code-review pilot, which is the wrong order for this business. **Permission** is a gate: a 1 kills the candidate regardless of hours saved.

Workflow	Hours	Exposure	Feasibility	Permission	Label
Project margin & utilisation view	5	2	3	5	**Accelerate** — initiative 1
Support ticket capture & triage	4	4	3	5	**Assist** — initiative 2
Change-request register	4	3	4	5	**Accelerate** — initiative 3
Backup restore verification	2	**5**	3	5	**Control** — two hours, this week
Incident runbooks (payments first)	3	**5**	3	5	**Control** — before renewal
AI acceptable-use policy	2	**4**	4	5	**Control** — covers risk already live
Estimation from historical effort	5	3	2	5	Not yet — blocked on effort data

Workflow	Hours	Exposure	Feasibility	Permission	Label
Release/deploy standardisation	4	4	2	5	Not yet — client change windows
AI-assisted code review	4	2	4	**1 for 2 of 11 accounts**	Next, per account: nine permitted now, two blocked until contract renegotiation
Environment & onboarding docs	3	2	3	5	Accelerate — next quarter
Dependency and CVE patching	2	4	4	5	Automate — after the policy exists
Proposal and SoW drafting	3	2	4	5	Assist — easy win
Architecture and client advisory	3	3	1	3	Keep human-led

The money. *Annual cost = hours a week × the client's own rate × 46 working weeks.* Forty-six, because a working year carries about six weeks of leave, public holidays and sick time. The rate is payroll, not a market: gross salary plus on-costs for the role that does the work, over 1,840 paid hours. Nothing is benchmarked against a survey, and where an hour was never recorded the row says so instead of guessing.

Finding	Hrs/wk	Client's rate	Annual cost (×46)	Recoverable	Annual recoverable
F1 Project margin & utilisation view	4.0	R610/hr	R112,240	75%	**R84,180**
F2 Support ticket capture & triage	not measured	—	*not costed, because support time has never been logged — a mailbox backlog is not a rate*	—	—
F3 Change-request register	not recorded	—	*not costed, because the change count is the principal's estimate, not a log*	—	—

Finding	Hrs/wk	Client's rate	Annual cost (×46)	Recoverable	Annual recoverable
F4 Estimation from historical effort	not recorded	—	*not costed, because effort per phase does not exist yet; costed when it does*	—	—
F5 Proposal and SoW drafting	not measured	—	*not costed, because quote preparation has never been timed*	—	—
F6 Environment & onboarding docs	not measured	—	*not costed, because "four to six weeks to first commit" is cycle time, not hours*	—	—
C1 Backup restore verification (control)	0.17	R720/hr	R5,630	—	cost, not a saving
C2 Incident runbooks (control)	not recorded	—	*not costed, because one event with no recorded frequency does not annualise*	—	—
C3 AI acceptable-use policy (control)	not measured	—	*not costed, because the work is unwritten policy, not recorded hours*	—	—
Total annual recoverable					**R84,180**

Basis. F1's hours are the finance manager's own, from session two: *"four hours a week, if the export behaves."* Recoverable is 3 of those 4 hours — the reconstruction and the two manual reconciliations go, the hour spent reviewing the generated view stays. Not 100%, and the report says why. C1's hours are the stated two hours a quarter, annualised to 8 hours a year, which is why the weekly figure is 0.17 rather than a rounded week.

Payback: R25,000 ÷ (R84,180 ÷ 12 = R7,015) = 3.6 months. Net of C1, the only control with recorded hours (R5,630 a year), R78,550 recoverable and 3.8 months. Halve the recoverable share — two hours a week instead of three — and payback is 5.3 months.

Exposure — not in the total, and not a payback. R520k of service credits from the September outage, from the incident timeline the client wrote for its own customer; R6.8m of annual account value at the March renewal, from intake. Both are cost-of-failure figures. They are why a two-hour backup test is scheduled ahead of work that saves more hours, and adding them to R84,180 is how a buyer stops believing the rest of the document.

Initiatives (change how the business runs).

1 — A margin and utilisation view. Finance already has the raw material — timesheet hours, SoW fees, the bank statement. Pulling the fee from each SoW once into a structured field turns the weekly reconstruction into a generated view and moves margin from four weeks late to weekly. *Owner: finance manager. Measure: hours to produce the view; days of lag. Saves R84,180 a year — F1.*

2 — Support capture. The mailbox is unmeasured, so no improvement can be proven and the retainer is priced against nothing. One queue in the tool you already pay for, every ticket logged including the five-minute fixes, one mandatory category and client field. No AI in this step. *Owner: ops manager. Measure: tickets logged per week against mailbox volume. Not costed — F2.*

3 — A change-request register. One structured record — client, what was asked, what it cost, who approved — created from the chat message that already exists, converts untracked scope into priced scope. *Owner: squad leads. Measure: changes with a priced record. Not costed — F3.*

Controls (exist because failure is expensive, not because they save time).

- **Backup restore verification**, two hours, this quarter and then quarterly. Nobody has tested whether last month's backups restore. This is the only item on the page that is unrecoverable if it fails. *R5,630 a year — C1.*
- **One runbook for the payments platform**, written from the September timeline by the person who diagnosed it. Deployment, restart, rollback, who to call. It is also the beginning of the fix for the single-person dependency.
- **A written acceptable-use policy for AI tools**, covering the accounts where it is permitted and naming the ones where it is not. The risk exists today; the policy makes it managed.

Deliberately not now: AI-assisted code review across the business. It is the most attractive idea in this document and it is closed for two of your eleven accounts. Pilot it on the accounts that permit it, with a written policy, and renegotiate the other two at renewal. Doing it faster than the contracts allow converts a good idea into a breach.

30-day roadmap

Weeks 1–2 — effort and fee in one place. Owner: finance manager. Timesheets stay the source of hours; add a structured fee field per project from the signed SoW, and a weekly generated margin view. *Measure: view produced in under an hour; margin lag from four weeks to seven days.*

Weeks 2–3 — support capture. Owner: ops manager. *Measure: tickets logged per week versus mailbox volume; time-to-first-response.*

Weeks 3–4 — change register. Owner: squad leads. *Measure: percentage of changes with a priced record.*

Controls, scheduled now: backup restore test (this week, two hours, infrastructure owner) · payments runbook drafted from the September timeline (before the March renewal, platform lead) · acceptable-use policy circulated for signature (this month, principal).

Stop doing: stop triaging support from the shared mailbox. It hides the only workload your retainers are priced against, and it is the one place where a client can see a fault before you do. If a ticket is not in a queue, it did not happen.

What we didn't look at

Code quality and individual performance. The two staff-augmentation clients' internal processes, which govern that work. Contract terms beyond the AI and confidentiality clauses that constrain the recommendations above — the panel listing and both staff-augmentation schedules were read for scope, not for risk. The security posture of any client environment. And, deliberately, any number we could not

source from your own records: where a rate was unavailable, the report says so rather than substituting a market average.

Next step

One option, one price. The assessment you are reading cost R25,000 — R15,000 at the founding rate — and that fee is credited in full if you proceed to implementation within 60 days, so the diagnosis stops being a cost and becomes the first instalment. Implementation is one thing: initiative 1, built with your finance manager over two weeks — the fee field, the generated margin view, and the first quarter of margin history reconstructed from the SoWs you already hold. Fixed scope, quoted after this document, because the price depends on what your timesheet export actually contains. Initiatives 2 and 3 are designed to be run by your own team; we say so because selling three builds when two of them are a queue and a structured field would be the wrong answer. The 30-minute walkthrough is included, and the café-test for doing initiative 1 yourself is whether the margin view is produced in under an hour by someone who is not you.

About this sample. Harbourline Systems is a composite: the business shape, the stages, the failure pattern and the reasoning come from real assessment work; the name, the people, the rates and every figure are illustrative, the quoted lines are composites of what an interview produces, and no result is claimed for any business. In a delivered report the owner names are people, the rates come from your payroll, the quotes are your own words, and the payback is against your actual fee. What this sample leaves out is what makes a report yours: your numbers, your names, your contracts, and the two sessions that produce them. The assessment costs R25,000 — R15,000 for the first three businesses — and includes a 30-minute walkthrough.